# SUBCONTRACT — STRUCTURAL STEEL — FICTIONAL TEST DOCUMENT

## Parties

This document is a fictional sample created for software testing. It is not a real agreement and none of the parties exist.

This Subcontract is made between Hypothetical Constructions Pty Ltd (FICTIONAL), ABN 00 000 000 003 (the "Head Contractor"), and Dummy Steel Fixing Pty Ltd (FICTIONAL), ABN 00 000 000 004 (the "Subcontractor").

## Recitals

A. The Head Contractor has entered into a contract with the Principal (the "Head Contract") for the construction of a warehouse at Lot 7, 99 Pretend Road, Faketown QLD 4999 (the "Site").

B. Under the Head Contract, the Principal pays the Head Contractor within 25 business days of a valid claim. That payment period does not apply to this Subcontract.

C. The Head Contractor wishes to engage the Subcontractor to supply and install structural steel on the terms of this Subcontract.

## 1. Interpretation

1.1 Where a clause refers to an Item, it means the corresponding Item in the Schedule, which forms part of this Subcontract.

1.2 If there is any inconsistency between these General Conditions and the Schedule, the Schedule prevails.

## 2. Payment claims

2.1 The Subcontractor may make a payment claim on the date stated in Item 5, and not otherwise.

2.2 Payment claims must be addressed to the Head Contractor's Project Manager.

2.3 Payment claims must be uploaded through the Head Contractor's online portal at portal.hypothetical-constructions.example. Payment claims sent by email or post will not be accepted.

2.4 Each payment claim must include a statutory declaration that all workers and suppliers have been paid, a subcontractor's statement, and copies of payroll records for the claim period.

## 3. Payment

3.1 Subject to clause 2, the Head Contractor will pay the Subcontractor within the period stated in Item 7.

3.2 Payment of any amount is not evidence that the work has been performed satisfactorily.

## 4. Retention

4.1 The Head Contractor may withhold from each progress payment retention at the rate stated in Item 8.

4.2 Retention will be held until the expiry of the Defects Liability Period and released within 28 days after the Subcontractor has rectified all notified defects.

## 5. Defects

5.1 The Subcontractor must rectify any defect notified during the Defects Liability Period stated in Item 10.

## 6. Variations

6.1 The Head Contractor may direct a variation at any time. If the Subcontractor considers that any direction constitutes a variation, the Subcontractor must give the Head Contractor written notice to that effect within 3 days of the direction, failing which the Subcontractor waives any entitlement to payment for that variation.

## 7. Extensions of time and delay

7.1 The Subcontractor must give written notice of any claim for an extension of time within 2 days after the delay commences, failing which the Subcontractor is not entitled to an extension of time.

7.2 Any claim for delay or disruption costs must be submitted within 5 days after the end of the delay, failing which the claim is barred.

7.3 Any other claim arising under or in connection with this Subcontract must be notified in writing within 7 days after the event giving rise to it, failing which it is barred.

## 8. Insurance and licences

8.1 The Subcontractor must hold public liability insurance of not less than $10,000,000 for any one occurrence.

8.2 The Subcontractor must effect contract works insurance for the full value of the Subcontract Works.

8.3 The Subcontractor must hold a current QBCC licence in the structural metal fabrication and erection class.

## 9. Termination

9.1 The Head Contractor may terminate this Subcontract at any time for its convenience by giving 5 days' written notice to the Subcontractor.

9.2 The Head Contractor may terminate this Subcontract immediately if the Subcontractor fails to comply with any direction.

## 10. Disputes

10.1 Any dispute arising under this Subcontract must be referred to arbitration in Brisbane under the rules of the Resolution Institute.

## Schedule

Item 1 — Head Contractor: as stated in the Parties clause.

Item 2 — Subcontractor: as stated in the Parties clause.

Item 3 — Subcontract Works: supply and installation of structural steel for the warehouse.

Item 4 — Subcontract Sum: $1,480,000.00 (excluding GST).

Item 5 — Date for payment claims: the 20th day of each month.

Item 6 — Date for Practical Completion: as directed by the Head Contractor.

Item 7 — Time for payment: 45 days after the end of the month in which the payment claim is received.

Item 8 — Retention rate: 30% of each progress payment.

Item 9 — Liquidated damages: $5,000 per day.

Item 10 — Defects Liability Period: 12 months from Practical Completion of the Head Contract works.